

Unilever plc — Argentina & Türkiye Hyperinflation Model

Hyperinflation Accounting Analysis — CFA LII Multinational Operations

Group Operating Profit (IFRS actual)	EUR 8,496.2m
Net Monetary Gain/(Loss)	EUR -195.0m
Earnings-Quality Signal	Flag: immaterial
Materiality Ratio	2.3%
As-of Year	2024

Investment Thesis

Unilever plc (ULVR, London Stock Exchange) is a global consumer-goods group that reports under IFRS. Two of its subsidiaries operate in economies classified as hyperinflationary. Argentina (ARS) has been hyperinflationary since 1 July 2018 and Türkiye (TRY) since 1 July 2022. For both, Unilever first restates the local accounts for inflation under IAS 29. It then translates the restated figures into euros at the closing rate under IAS 21. Because of this two-step treatment, the subsidiaries' reported results reflect both local price-level changes and currency movements.

Our model reports 2024 consolidated figures of about €46,545m in total assets, €60,845m in revenue and €8,496m in operating profit, all under the actual IFRS treatment. These group totals are an illustrative model scale, not Unilever's reported consolidated accounts. It also records a net monetary loss of €195m. Most of that loss comes from Argentina (–€206m), and Türkiye partly offsets it with a small gain (+€11m). The IAS 29 restatement also adds €230m (Argentina) and €187m (Türkiye) to reported turnover. The operating-profit effects are much smaller: +€10m and –€4m.

The model's mechanical earnings-quality signal is **"Flag: immaterial."** The net monetary loss equals about 2.3% of the model's group operating profit (an indicative ratio), well below the model's 10% materiality threshold. The model's worst-exposed subsidiary is Argentina, with a monetary-exposure grade of C, and the group's overall grade is also C.

The central tension in this thesis is that the hyperinflation mechanics are dramatic at the subsidiary level. Argentina's monetary loss alone is roughly 18% of its total assets in the model. It is an open question whether that should matter to a group-level investor when the consolidated effect rounds to a low single-digit share of operating profit.

On market perception, analyst consensus sits at a mean target price of 5,080p according to TipRanks (10 analysts, "Moderate Buy"), against a share price of 4,664.50p at the 25 September 2026 close (Trading Economics). The public commentary we reviewed does not appear to separate the IAS 29 effect from ordinary FX translation. Argentina and Türkiye come up as volume-growth stories plus a generic "currency headwind." Neither the net monetary gain/(loss) line nor IAS 29 was mentioned on the 2026 earnings calls we reviewed. Paywalled broker notes were not accessible, so this conclusion covers public sources only.

Bulls Say

- **The hyperinflation line looks small at group level.** The 2024 net monetary loss of €195m equals about 2.3% of the model's group operating profit (€8,496m, an illustrative model scale, not Unilever's reported consolidated figure, so the ratio is indicative), well below the model's 10% materiality threshold. Operating profit barely moves between the scenarios: €8,490m under World A (plain current-rate translation) against €8,496m under World C (actual IFRS, IAS 29 + IAS 21). The €6m gap means the restatement does not change the group's earnings level.
- **Türkiye's monetary exposure is small.** Its monetary-exposure grade is A, with an exposure ratio of about 2.6% of its €420m in total assets, and it booked a small monetary *gain* (+€11m) in 2024. Türkiye's disclosed 2025 net monetary effect was only –€10m. On the Q1 2026 call the CEO listed Turkey among "strong performances in markets such as India, Turkey, and Vietnam."
- **Argentina's monetary drag is shrinking.** Argentina's disclosed net monetary loss fell from –€206m in 2024 to –€46m in 2025. Operationally, the CEO reported "high single-digit volume growth" in Argentina in Q2 2026. On this evidence, Argentina is recovering as a business even as the accounting drag fades.
- **Currency headwinds are easing, and the stock trades below consensus.** Currency cut H1 2026 turnover by 4.9%, but that eased to 2.4% in Q2, and the CFO guides to about 3% for the full year at July

spot rates. The shares closed at 4,664.50p against a TipRanks mean target of 5,080p (roughly 9% upside; 10 analysts, "Moderate Buy"). The 4 November 2026 Capital Markets Day is a near-term catalyst.

- **IFRS gives a smaller hit than the US GAAP alternative.** Under the World B US GAAP temporal method, the model's remeasurement loss is €272m. The IAS 29 net monetary loss Unilever actually reports is €195m. The accounting investors actually see is the less punitive of the two.

Bears Say

- **Argentina carries the group's monetary loss, and its hyperinflation has lasted eight years.** Argentina has been hyperinflationary since 1 July 2018. Its monetary-exposure grade is C: a –€206m loss on €1,125m of subsidiary assets, an exposure ratio of about –18%. It accounts for more than the entire group net monetary loss, which drags the group's overall grade down to C. A modest Türkiye gain cannot offset a problem of that size.

- **Reported turnover is inflated, not earned.** IAS 29 added €417m to 2024 turnover (€60,845m under World C against €60,428m under World A) but only €6m to operating profit. Group ROA is lower under the actual treatment (18.25% against 18.45%), and so is asset turnover (1.307x against 1.313x). Headline growth therefore overstates underlying performance.

- **The 2024 tailwind reversed in 2025.** Unilever's disclosed IAS 29 impacts were negative on every line in 2025: turnover –€90m (Argentina) and –€16m (Türkiye); operating profit –€54m and –€46m, compared with +€10m and –€4m in 2024. A plausible explanation, encoded in the model's 2025 macro assumptions (FX depreciation of ~44%/~35% against inflation of ~30%/~28%), is that FX depreciation outran local inflation. The same mechanism that flattered 2024 now penalises results, and it depends on FX paths that management does not control.

- **The market isn't looking at this line.** We found no public sell-side note or earnings-call question that separates the IAS 29 net monetary gain/(loss) from ordinary FX translation. Unilever's underlying sales growth also excludes hyperinflationary price growth above 26% a year. If the monetary line swings, consensus is not positioned for it. Currency already cut underlying EPS growth by about 6 percentage points in H1 2026.

- **Model visibility is limited, and the consensus is mixed.** Our model's 2025 roll-forward gets the sign of the total-assets impact wrong for both subsidiaries (+€184m modelled against –€199m disclosed for Argentina; +€46m against –€20m for Türkiye). It also overshoots Türkiye's monetary loss (–€113m against –€10m). The balance-sheet restatement cannot be forecast reliably from public disclosures. Sell-side views are split: 5 Buy / 3 Hold / 2 Sell, with targets from 3,900p to 6,000p, and MarketBeat's ADR panel is at "Hold."

Economic Moat

Moat Rating: Not rated (the source data contain no competitive-position evidence)

This section does not assess Unilever's competitive moat; it looks only at how hyperinflation bears on local pricing and monetary exposure. At group level the effect is small: the 2024 IAS 29 net monetary loss of €195m is only 2.3% of the model's €8,496m group operating profit (an illustrative model scale, not Unilever's reported consolidated figure, so the ratio is indicative), below the 10% materiality threshold. The local operations are a separate question, and the evidence there is weaker.

Pricing power. IAS 29 restatement adds €417m to group turnover (World C €60,845m vs. World A €60,428m) but only €6m to operating profit, because restated costs absorb almost all of the gain (COGS alone rises €255m). In Argentina, +€230m of turnover restatement yields only +€10m of operating profit. In Türkiye, +€187m of turnover turns into a €4m reduction. These ratios are not evidence of local pricing behaviour: the

model restates revenue and costs by the same in-year inflation factor by assumption, so the operating-profit effect mechanically reflects each subsidiary's calibrated margin rather than whether local prices outpace local costs. The disclosed 2025 figures, when FX depreciation outpaced inflation, show operating-profit impacts of –€54m for Argentina and –€46m for Türkiye.

Monetary exposure. Argentina is graded **C**: a –€206m monetary loss, an exposure ratio of –18.3% on €1,125m of subsidiary total assets. That grade alone pulls the group's overall grade down to **C**. Türkiye is graded **A**: a +€11m gain, an exposure ratio of +2.6% on €420m.

Track record. Argentina has been hyperinflationary since July 2018, Türkiye only since July 2022. Argentina's operations are growing (high single-digit volume growth in Q2 2026), while its monetary loss remains the larger of the two. Türkiye's modelled monetary exposure is small, but its restated margin is the weakest of the two.

**Caveat:* the impact figures are Unilever's own disclosures. The subsidiary balance sheets behind the exposure ratios are a calibrated illustration, not reported accounts.

Valuation, Sensitivity & Scenarios

Three accounting worlds, one set of economics

The model reports the same Argentina and Türkiye operations under three accounting treatments. **World A** is the plain current-rate method. Every line is translated at the current exchange rate and nothing is restated for inflation. This is the "disappearing plant" baseline: as the local currency depreciates, historical-cost fixed assets shrink in euro terms even though the plant is still operating. **World B** is the US GAAP temporal method, known as remeasurement. Non-monetary items stay at historical FX rates, monetary items move to current FX, and the difference goes through the income statement as a **remeasurement** gain or loss. **World C** is what Unilever actually reports under IFRS. IAS 29 first restates the local-currency accounts into current purchasing power, and IAS 21 then translates them at the closing rate. The underlying business is the same in all three worlds. What changes is the accounting, and none of the three is a different valuation of Unilever.

The numbers

For 2024, Worlds A and B both show revenue of about €60.43bn and operating profit of about €8.49bn. World C shows €60.84bn of revenue and €8.50bn of operating profit. Total assets are €46.01bn in World A, €46.11bn in World B and €46.54bn in World C. World A has no monetary line by construction. World B books a remeasurement loss of about €272m, and World C books a net monetary loss of about €195m.

These gaps are small against a group of Unilever's size. What stands out is the pattern. Moving from A to C raises revenue by roughly €417m and total assets by roughly €539m, but raises operating profit by only about €6m. The reason is that IAS 29 restates revenue and costs by the same inflation factor, so most of the uplift at the top line cancels out at the profit line. The gross revenue and asset figures still move by hundreds of millions.

IAS 29 impact by subsidiary

In 2024, IAS 29 added about €474m to Argentina's total assets, €230m to its turnover and €10m to its operating profit. Its net monetary result was a loss of about €206m. For Türkiye, the restatement added €65m to total assets and €187m to turnover, reduced operating profit by about €4m, and produced a net monetary gain of about €11m.

Argentina's loss runs against the textbook rule that a net monetary liability position produces a purchasing-power gain. The model solves Argentina as a net monetary **liability** position, yet it still shows a loss. The net monetary line balances the whole restated balance sheet. It therefore also absorbs the

inflation-driven growth in restated opening equity and operating profit, and a fast-growing restated equity base can turn an apparent "liability means gain" position into a net loss. The textbook rule is a useful first intuition, but it does not hold as a formula once the full balance sheet is restated.

2025 validation

The model was not re-fitted to 2025. It rolls 2024 forward and is then compared with Unilever's disclosed 2025 impacts. For each subsidiary, three of the four lines match in sign:

- **Turnover:** model –€31m vs. disclosed –€90m for Argentina, and –€47m vs. –€16m for Türkiye.
- **Operating profit:** –€1m vs. –€54m for Argentina, and –€3m vs. –€46m for Türkiye. The model understates both.
- **Net monetary loss:** –€24m vs. –€46m for Argentina. For Türkiye the model shows –€113m against a disclosed –€10m, an overshoot of about ten times.

Total assets do not match in sign. The model shows +€184m for Argentina against a disclosed –€199m, and +€46m for Türkiye against –€20m. This is a structural limit of the model, not a calibration miss. Restating non-monetary assets for a rising price index can only increase them, and Worlds A and C divide balance-sheet items by the same closing rate. The model therefore cannot produce a negative total-assets impact. Unilever's negative figure probably reflects items the model does not capture, such as disposals, impairments or a different comparative basis. This remains an open limitation, and the 2025 check should not be read as a clean match.

Financial Health

Overall Grade: C

The grade comes from a simple rule this model sets itself. It is not a Unilever or IFRS metric. Each hyperinflationary subsidiary's net monetary gain/(loss) is divided by that subsidiary's own total assets (IFRS-actual basis, EURm), and the absolute value of the ratio is banded using thresholds set in the model's own grading code: A ≤5%, B ≤15%, C ≤30%, D ≤50%, F above 50%. The overall grade is the worse of the two sub-grades.

| Subsidiary | Net monetary gain/(loss), €m | Total assets, €m | Exposure ratio | Grade |

|---|---|---|---|---|

| Argentina | (206.0) | 1,124.9 | –18.3% | **C** |

| Türkiye | 11.0 | 419.8 | +2.6% | **A** |

Argentina is the whole reason the overall grade is C. Its net monetary loss equals more than 18% of its total assets. Notably, the model's solved net monetary position for Argentina is a net monetary *liability* (about ARS 407bn), which the simple textbook rule would associate with a purchasing-power gain. The loss arises because the monetary gain/(loss) nets against the inflation-driven growth of restated opening equity and operating profit, not because Argentina holds excess monetary assets. Because the monetary-asset/liability split is a modelling choice rather than a disclosure, the grade should not be read as a verdict on Unilever's actual balance-sheet management. Türkiye's position is small by comparison and close to balanced, and it produced a modest gain. At group level the combined €(195)m loss is about 2.3% of the model's operating profit (€8,496m, an illustrative model scale, not Unilever's reported consolidated figure, so the ratio is indicative). So on the model's scale the problem looks contained, but it is concentrated in Argentina.

These grades use the **primary calibrated year, 2024**. That is the year the model's local-currency inputs were solved to reproduce Unilever's disclosed IAS 29 figures. The subsidiary-level splits are an illustration built to match those disclosed totals, not figures Unilever reported. The rolled-forward 2025 year is only a directional check and does not describe the current balance sheet.

Market Consensus Comparison

Headline consensus is mildly positive. TipRanks puts ULVR at "Moderate Buy" (5 Buy / 3 Hold / 2 Sell, 10 analysts) with a mean target of 5,080p, against a 4,664.50p close on 25 September 2026. The public commentary on the hyperinflationary subsidiaries is thin, though. On the Q2 2026 call, the CEO described Argentina only in operating terms ("Argentina delivered high single-digit volume growth"). The CFO talked about currency only as one aggregate translation figure: "Currency reduced our first half turnover by 4.9%". On the Q1 call, Türkiye came up as a market with "strong performances". Press summaries of the consensus mention bears citing "foreign exchange headwinds" in general. Unilever's own framing deals with hyperinflation mainly by excluding price growth above 26% a year from underlying sales growth.

We found no commentary that separates the IAS 29 net monetary gain/(loss) from ordinary FX translation. No analyst asked about it, and none of the material names IAS 29. One caveat: paywalled broker notes were not accessible, so this conclusion rests on call transcripts, company filings and aggregator summaries.

The model's own figures suggest this silence is broadly proportionate at the group level. The 2024 net monetary loss of €195m is about 2.3% of the model's €8,496m operating profit (an illustrative model scale, not Unilever's reported consolidated figure, so the ratio is indicative), well under the 10% materiality threshold. The subsidiary picture is different. Argentina alone booked a €206m monetary loss, equal to an exposure ratio of –18% of its total assets (grade C), which Türkiye's €11m gain (grade A) only slightly offsets. The IAS 29 restatement also added €230m (Argentina) and €187m (Türkiye) to turnover. Generic "FX headwind" language therefore misses Argentina's IAS 29 monetary loss, which the model books even though Argentina holds a net monetary *liability* position (about ARS 407bn), because restated opening equity and operating profit grow with inflation alongside it. Consensus is not wrong on group earnings, but it does not see this line at all.

Recommendation

Recommendation: Hold (on the narrow question of whether the market misprices Unilever's hyperinflation-accounting effect)

This is not a full intrinsic-value call and there is no target price here. The question is only whether the IAS 29 net monetary gain/(loss) from Argentina and Türkiye is a source of earnings-quality mispricing. The answer is no, and the reason is materiality rather than market efficiency.

The effect is too small to matter at group level. In 2024 the net monetary loss was €195m, against group operating profit of €8,496m in our model. That group total, like the model's revenue and total assets, is an illustrative model scale (almost all of it is a stylised "other group operations" block), not Unilever's reported consolidated accounts, so the ratio below is indicative. The loss is 2.3% of operating profit, well below the 10% materiality threshold, so the mechanical signal is **"Flag: immaterial"**. The wider restatement tells the same story. The IFRS-actual view (World C) gives operating profit of €8,496m, against €8,490m if Argentina and Türkiye were treated as non-hyperinflationary (World A), and ROA of 18.3% against 18.5%. Revenue restatement moves turnover by about €417m, but most of that is offset in cost lines.

Consensus ignores it, but that doesn't create an edge. Analyst coverage is mildly positive (TipRanks: *Moderate Buy*, 10 analysts, mean target 5,080p against a 4,664.50p close on 2026-09-25). None of the public commentary we found treats the IAS 29 monetary line separately from ordinary FX. On the Q1 and Q2 2026 calls, Argentina came up only as a volume-growth story and currency only as an aggregate translation headwind. Paywalled broker notes were not accessible. If the effect were material, an overlooked earnings-quality issue would argue for caution. Because it is immaterial, the fact that the market overlooks it is not something an investor can profit from.

Where the risk sits. Argentina accounts for more than all of the exposure: its net monetary loss of €206m exceeds the group's €195m and an exposure ratio of -18.3% of its total assets (grade C). Türkiye posted a small gain of €11m (grade A). Investors should watch Argentina's monetary position. If the group net monetary loss grew to about 10% of group operating profit (roughly €850m on 2024 operating profit, against €195m today), the mechanical signal would move to *Flag: material*. Until then, the hyperinflation line gives no reason to change position either way.

Risks & Uncertainty

Argentina is the weak link. Argentina carries a monetary-exposure grade of C, and that drives the group's overall C. Its 2024 net monetary loss of €206m equals about 18.3% of the subsidiary's modelled total assets of roughly €1,125m. Türkiye is graded A: its €11m gain is about 2.6% of €420m. At group level the €195m net monetary loss is only about 2.3% of the model's operating profit (an illustrative model scale, not Unilever's reported consolidated figure, so the ratio is indicative), below the 10% materiality threshold. But a further Argentine inflation or FX shock hits that one line directly, and the model shows the sign can flip. Argentina has a net monetary *liability* position yet still books a loss once equity and profit are restated alongside it.

The model's limits. This is a calibrated, illustrative model. It does not reproduce Unilever's actual subsidiary accounts. It matches the 2024 disclosure almost exactly because it was solved to do so. The out-of-sample 2025 roll-forward matched the sign on only 3 of 4 lines for each subsidiary, and the magnitudes were off:

- Argentina's operating-profit impact came out at –€1.4m against –€54m disclosed.
- Türkiye's net monetary line came out at –€113m against –€10m disclosed.
- The total-assets line cannot turn negative under this model's mechanics. The model shows +€184m for Argentina against –€199m disclosed.

Any forward projection deserves much less confidence than the 2024 calibration.

Macro regime shifts. 2024's mostly positive impacts came from inflation (118% in Argentina, 44% in Türkiye) running ahead of FX depreciation (about 19% and 18%). Argentina floated the peso in April 2025, and the lira kept depreciating. The model's 2025 macro assumptions (FX depreciation of ~44%/~35% against inflation of ~30%/~28%) encode a plausible reversal of that relationship. The disclosed 2025 turnover impacts turned negative, Argentina's operating-profit impact turned from +€10m to –€54m, and Türkiye's already-negative –€4m deepened to –€46m. Further regime changes could move these lines in either direction.

The market is not tracking this line. In the public call transcripts and aggregator summaries we reviewed, no analyst separated the IAS 29 net monetary gain/(loss) from generic "currency headwinds." Paywalled broker notes were not reviewed. At an indicative 2.3% of the model's group operating profit the effect looks immaterial, so this blind spot does not amount to mispricing today. It would become a risk only if the group monetary loss grew towards the 10% materiality threshold.

Sources & References

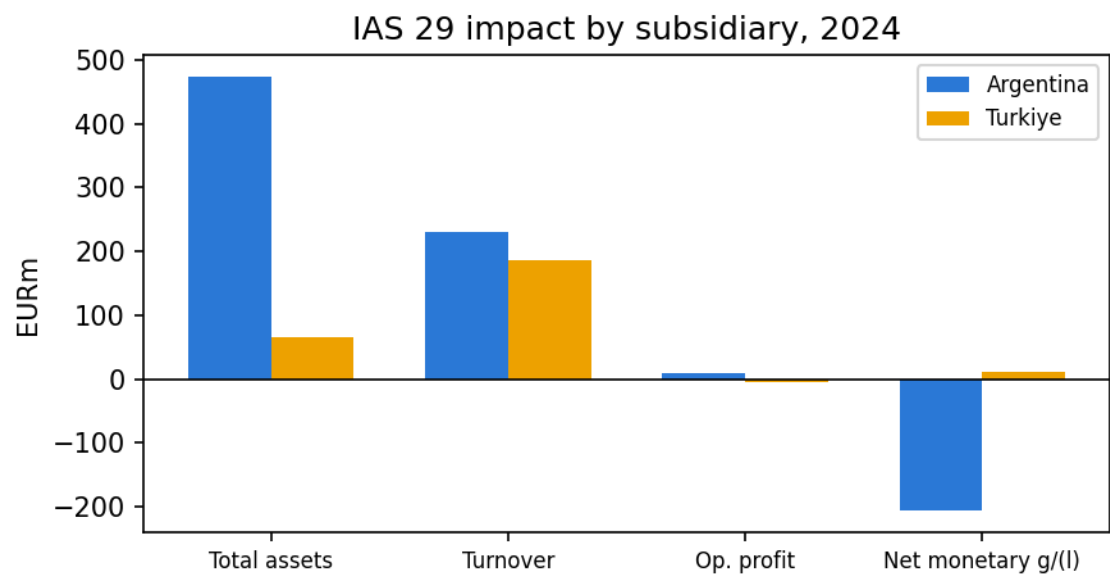
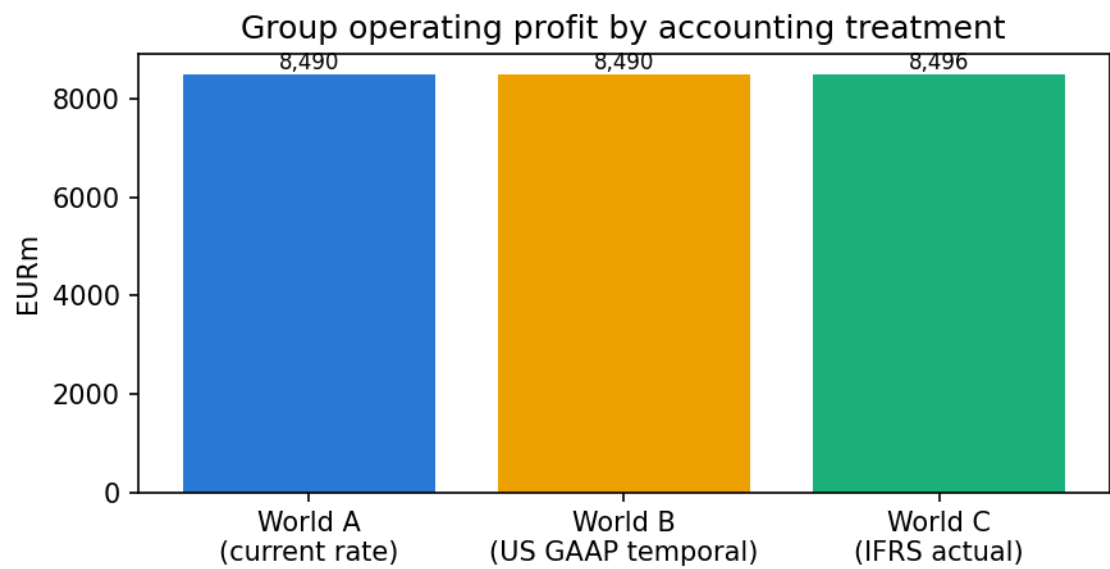
- [1] Unilever plc — 2024 Annual Report on Form 20-F, hyperinflation accounting policy note (Argentina/Türkiye 2024 IAS 29 impact table) — U.S. SEC EDGAR, <https://www.sec.gov/Archives/edgar/data/217410/000021741025000015/ul-20241231.htm>, accessed 2026-09-27
- [2] IAS 29 *Financial Reporting in Hyperinflationary Economies* (restatement mechanics; net monetary gain/loss recognised in profit or loss) — IFRS Foundation, accessed 2026-09-27
- [3] IAS 21 *The Effects of Changes in Foreign Exchange Rates*, §42-43 (restated hyperinflationary financial statements translated at the closing rate) — IFRS Foundation, accessed 2026-09-27
- [4] Unilever Argentina & Türkiye hyperinflation model — calibration and citation log (`research\_output.md`) and model outputs (World A/B/C scenario comparison, 2025 validation gap, monetary-exposure grades), generated 2026-09-27
- [5] TipRanks, Unilever (ULVR, LSE) analyst forecast page — <https://www.tipranks.com/stocks/gb:ulvr/forecast>, most recent rating dated 2026-09-25, accessed 2026-09-27
- [6] Trading Economics, ULVR:LN quote page (25 September 2026 close) — <https://tradingeconomics.com/ulvr:ln>, accessed 2026-09-27
- [7] Unilever Q1 2026 earnings call transcript — Investing.com, <https://www.investing.com/news/transcripts/earnings-call-transcript-unilevers-q1-2026-reveals-strong-volume-growth-93CH-4647991>, accessed 2026-09-27
- [8] Unilever (UL) Q2 2026 earnings call transcript, 28/29 July 2026 — The Motley Fool, <https://www.fool.com/earnings/call-transcripts/2026/07/29/unilever-ul-q2-2026-earnings-call-transcript/>, accessed 2026-09-27
- [9] Unilever plc — 2025 Annual Report on Form 20-F, hyperinflation accounting policy note (Argentina/Türkiye 2025 IAS 29 impact table) — U.S. SEC EDGAR, <https://www.sec.gov/Archives/edgar/data/217410/000021741026000007/ul-20251231.htm>, accessed 2026-09-27
- [10] "Unilever stock holds steady as analysts see limited upside" (MarketBeat ADR consensus; 4 November 2026 Capital Markets Day) — ad-hoc-news, 2026-09-20, <https://www.ad-hoc-news.de/boerse/news/corporate-news/unilever-stock-holds-steady-as-analysts-see-limited-upside/70137483>, accessed 2026-09-27
- [11] Unilever plc — H1 2026 report on Form 6-K (underlying sales growth methodology; hyperinflationary price growth above 26% excluded) — U.S. SEC EDGAR, <https://www.sec.gov/Archives/edgar/data/0000217410/000021741026000057/ul-20260630.htm>, accessed 2026-09-27
- [12] MarketScreener, Unilever plc consensus page — <https://www.marketscreener.com/quote/stock/UNILEVER-PLC-9590186/consensus/>, accessed 2026-09-27
- [13] "Unilever stock slips 0.31 percent ahead of the open" (share-price cross-check) — ad-hoc-news, <https://www.ad-hoc-news.de/boerse/news/vorboerse/unilever-stock-slips-0-31-percent-ahead-of-the-open/70180991>, accessed 2026-09-27

Disclaimer

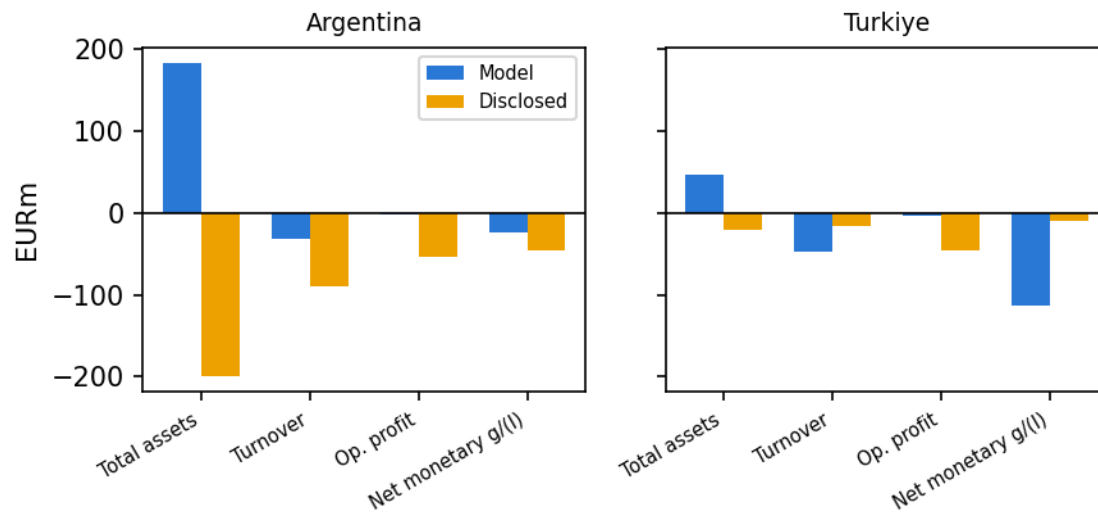
This report is generated by an automated financial-model-and-research pipeline for educational and research purposes. It is not investment advice. Valuation figures depend on modeling assumptions disclosed throughout this report and in the underlying

model's `research\_output.md`; all data should be independently verified before use in any investment decision.

Charts



Model vs. disclosed, 2025 (roll-forward validation)



Monetary-Exposure Grades

Subsidiary	Grade	Net Monetary G/(L)	Total Assets	Exposure Ratio
Argentina	C	-206.0	1,124.9	-18.3%
Turkiye	A	11.0	419.8	+2.6%